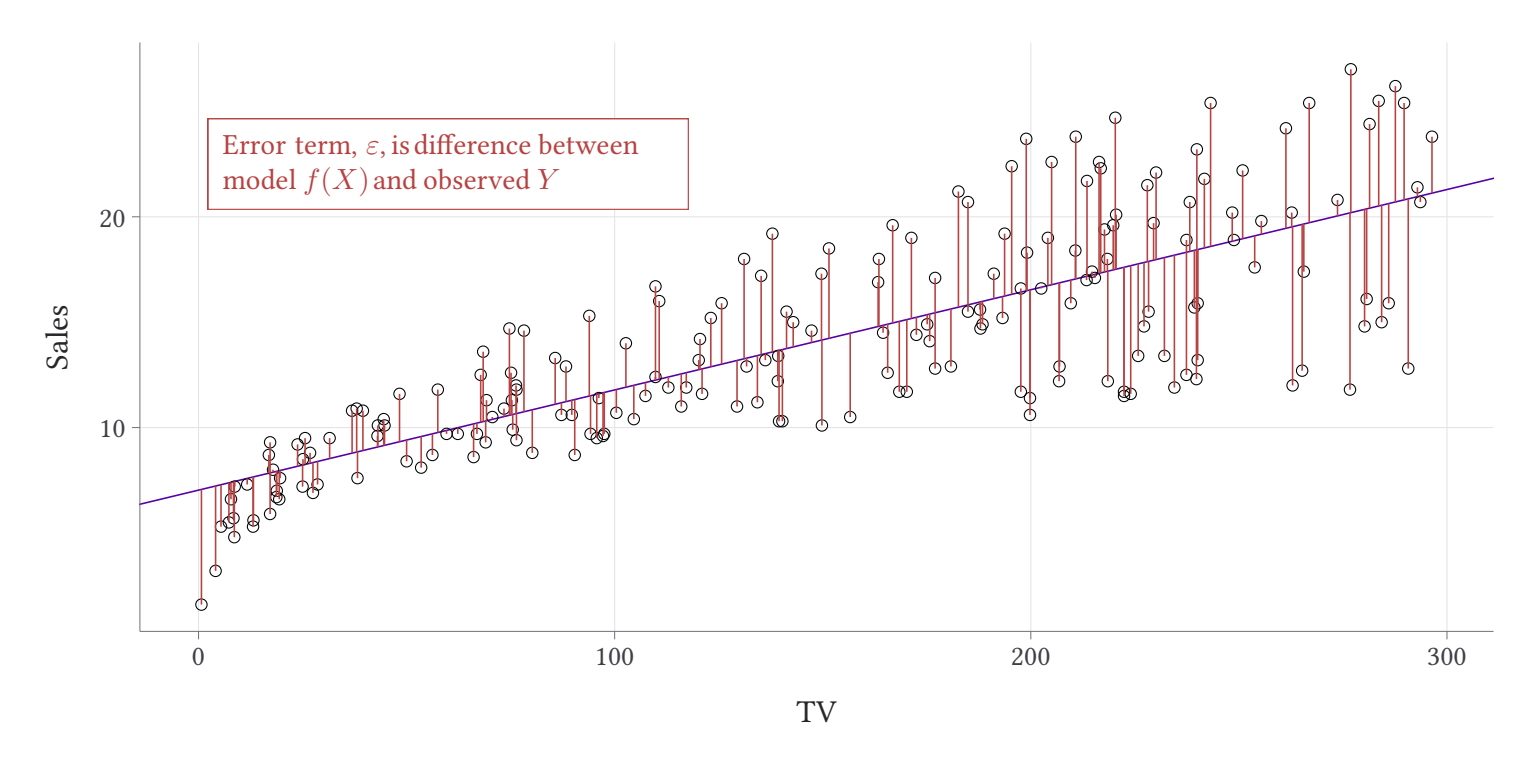

Error term, ε, is difference between model $f(X)$ and observed Y
Sales
20
10
0
100
200
300
TV